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April 23, 2026

AS AMENDED

ENGROSSED HOUSE

BILL NO. 3989

By: Caldwell (Trey) and
Dobranski of the House

and

Green of the Senate

An Act relating to the Retail Electric Supplier Certified Territory Act; amending 17 O.S. 2021, Section 158.25, as amended by Section 1, Chapter 95, O.S.L. 2023 (17 O.S. Supp. 2025, Section 158.25), which relates to exclusive rights within territory; modifying when certain electric retail suppliers can extend certain services; requiring certain fees under certain circumstances; **and** excluding specific sources of funding for those fees.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 17 O.S. 2021, Section 158.25, as amended by Section 1, Chapter 95, O.S.L. 2023 (17 O.S. Supp. 2025, Section 158.25), is amended to read as follows:

Section 158.25. A. Except as otherwise provided herein, each retail electric supplier shall have the exclusive right to furnish retail electric service to all electric-consuming facilities located within its certified territory, and shall not furnish, make available, render or extend its retail electric service to a consumer for use in electric-consuming facilities located within the

1 certified territory of another retail electric supplier; provided
2 that any retail electric supplier may extend its facilities through
3 the certified territory of another retail electric supplier, if such
4 extension is necessary for such supplier to connect any of its
5 facilities or to serve its consumers within its own certified
6 territory.

7 B. Except as provided in subsections C and E of this section,
8 any new electric-consuming facility located in an unincorporated
9 area which has not as yet been included in a map issued by the
10 Commission, pursuant to Section 158.24 of this title, or certified,
11 pursuant to Section 158.24 of this title, shall be furnished retail
12 electric service by the retail electric supplier which has an
13 existing distribution line in closer proximity to such electric-
14 consuming facility than is the nearest existing distribution line of
15 any other retail electric supplier. Any disputes under this
16 subsection shall be resolved by the Commission.

17 C. If the Commission, after hearing, shall determine that the
18 retail electric service being furnished or proposed to be furnished
19 by a retail electric supplier to an electric-consuming facility is
20 inadequate and is not likely to be made adequate, the Commission may
21 authorize another retail electric supplier to furnish retail
22 electric service to such facility.

23 D. Except as provided in subsection C of this section, no
24 retail electric supplier shall furnish, make available, render or

1 extend retail electric service to any electric-consuming facility to
2 which such service is being lawfully furnished by another retail
3 electric supplier on September 10, 1971, or to which retail electric
4 service is lawfully commenced thereafter in accordance with this
5 section by another retail electric supplier.

6 E. The provisions of this act shall not preclude any retail
7 electric supplier from extending its service after September 10,
8 1971, (1) to its own property and facilities, in an unincorporated
9 area, and (2) subject to subsection D of this section, to an
10 electric-consuming facility requiring electric service, in an
11 unincorporated area, if the ~~connected~~ actual total metered load for
12 initial full operation of such electric-consuming facility is to be
13 1,000 kw or larger. After **the effective date of this act**, a retail
14 electric supplier shall provide notice to the Oklahoma Corporation
15 Commission that it plans to serve a new electric-consuming facility
16 under this large load exception. Together with its notice, it shall
17 include written certification from a licensed professional engineer
18 that the load will reach or is reasonably expected to reach or
19 exceed 1,000 kw of actual metered load during the first twenty-four
20 (24) months of commercial operation. At the end of the twenty-four-
21 month period, the Commission or the incumbent **retail electric**
22 **supplier** may request verification, and obtain records through a
23 Commission proceeding to determine whether the 1,000 kw level was
24 reached. If that load fails to reach the 1,000 kw load during the

1 twenty-four (24) months after commercial operation, then said retail
2 electric supplier shall pay a penalty of one percent (1%) of sales
3 to that electric-consuming facility per annum to the incumbent
4 retail electric supplier until such time as it does reach 1,000 kw.
5 The penalty **shall** not be recovered directly from ratepayers or
6 members, and shall be paid from the profits or margins of the **retail**
7 **electric supplier** making the payments. The Corporation Commission
8 shall enforce this penalty upon application of an interested party
9 and may waive the penalty upon a finding that the **retail electric**
10 **supplier** serving said load was not at fault in serving said load
11 which did not reach 1,000 kw for reasons unforeseen when service was
12 extended. This subsection shall not apply to any such load served
13 before **the effective date of this act.**

14 F. To achieve the purposes of efficient, cost-effective retail
15 electric service without duplication of electric facilities and to
16 avoid unfairly shifting costs to residential consumers, retail
17 electric service providers are required to establish and utilize
18 rate tariffs which are specifically applicable to a rate class of
19 customers composed of electric-consuming facilities being served in
20 accord with the 1,000 kw size exception found in subsection E of
21 this section and located outside the retail electric service
22 provider's certified territory. These tariffs may be for a specific
23 electric-consuming facility or for a class of electric-consuming
24 facilities taking service under this provision. For retail electric

1 service providers that are rate-regulated by the Commission, the
2 rates supporting this rate class shall be determined in the rate-
3 regulated service provider's most recent rate proceeding. Rates for
4 this rate class shall be designed to recover (i) the costs of
5 extending service to the competitive load of electric-consuming
6 facilities of 1,000 kw or larger located outside the retail electric
7 service provider's certified territory; and (ii) the allocated share
8 of other costs associated with providing service to the electric-
9 consuming facility. Such tariffs shall be cost-of-service based and
10 shall not subsidize other rate classes or be subsidized by other
11 rate classes. Unless costs of extending service to such a new load
12 are collected from the customer, those costs shall be included in
13 the cost of service study in the next rate proceeding. If the
14 electric service provider, in whose certified territory the
15 competitive load is seeking electric service, chooses in writing not
16 to compete for said competitive load or does not respond within
17 thirty (30) days of receiving written notice by the customer, the
18 terms of this subsection shall not apply.

19 COMMITTEE REPORT BY: COMMITTEE ON ENERGY
20 April 23, 2026 - DO PASS AS AMENDED
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